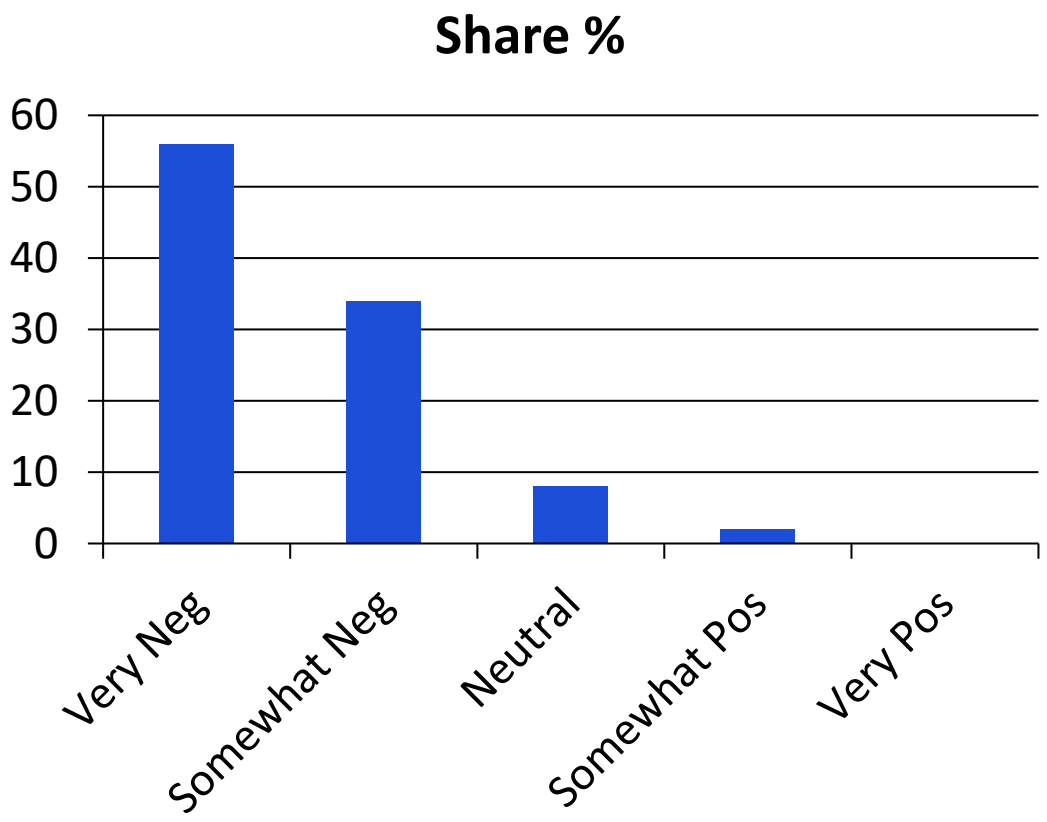
Executive Briefing: Arkansas Childcare Voucher Impact

Workforce Infrastructure, ADE/OEC Alignment & Pro-Business Policy Solutions

Concise Briefing for State, County & Municipal Leadership | October 2026

MACROECONOMIC & SECTOR IMPACT

90% of Centers Report Distress as Childcare Cuts Hit Workforce



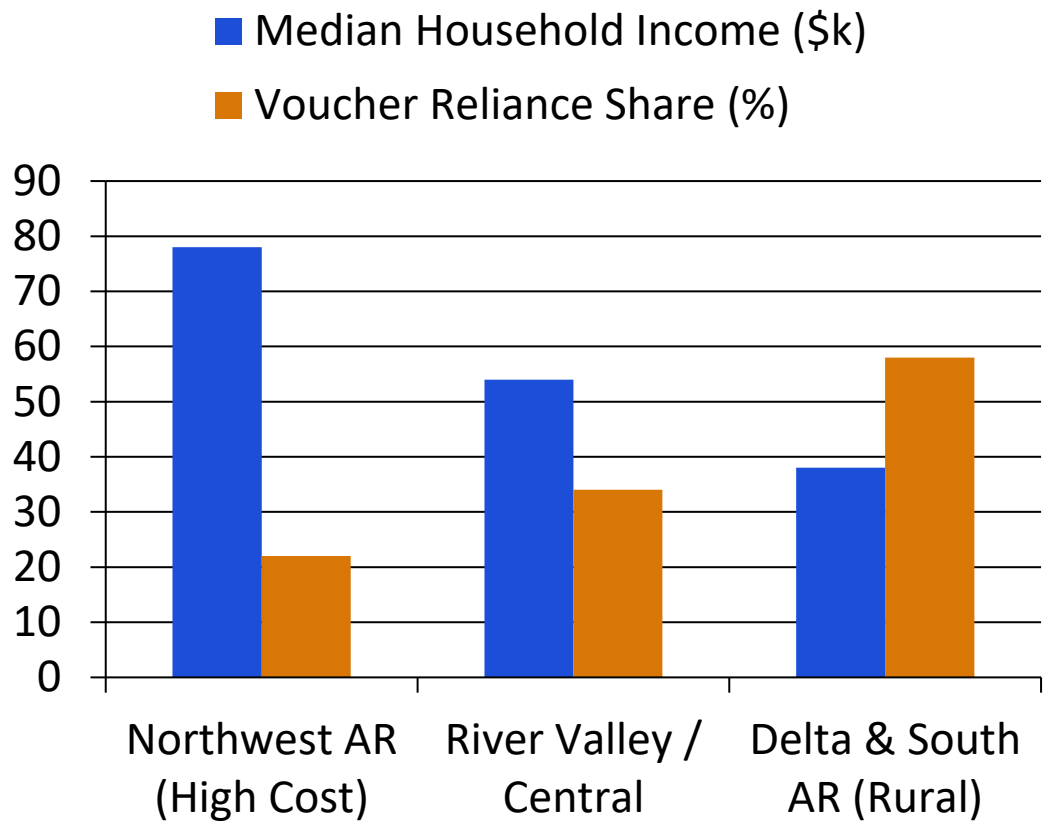
- **$1.15B Employer Loss:** Childcare shortages drive severe annual turnover and absenteeism across Arkansas manufacturing, logistics, and healthcare (State Chamber data).
- **Defensive Center Cutbacks:** To survive flat rates, 51% of centers cut staff hours, 48% froze wages, 46% raised private tuition up to 12%, and 43% restricted subsidized slots.
- **Canary in the Coal Mine:** High NWA sample (72%) stress-tests high-resource centers; if NWA cannot break even, rural Delta centers face immediate insolvency (1,592 centers exposed).

Arkansas Childcare Assistance Voucher Survey (n=100 stratified sample, N=1,769 total census, MoE ±10%)

REGIONAL ECONOMIC DIVERGENCE

Cost-Shifting in NWA vs. Insolvency in the Arkansas Delta

- **Dual Economic Divergence:** Northwest Arkansas combines highest state median income ($78k) with steep commercial lease spikes (+18% to +28%).
- **NWA Middle-Class Squeeze:** With 22% voucher reliance, NWA centers cap subsidized slots and raise tuition 12% on private-paying families to cross-subsidize deficits.
- **Delta & South AR Insolvency:** With 58% voucher reliance and $38k median income, rural centers have no private-pay base to absorb losses, forcing outright closures.

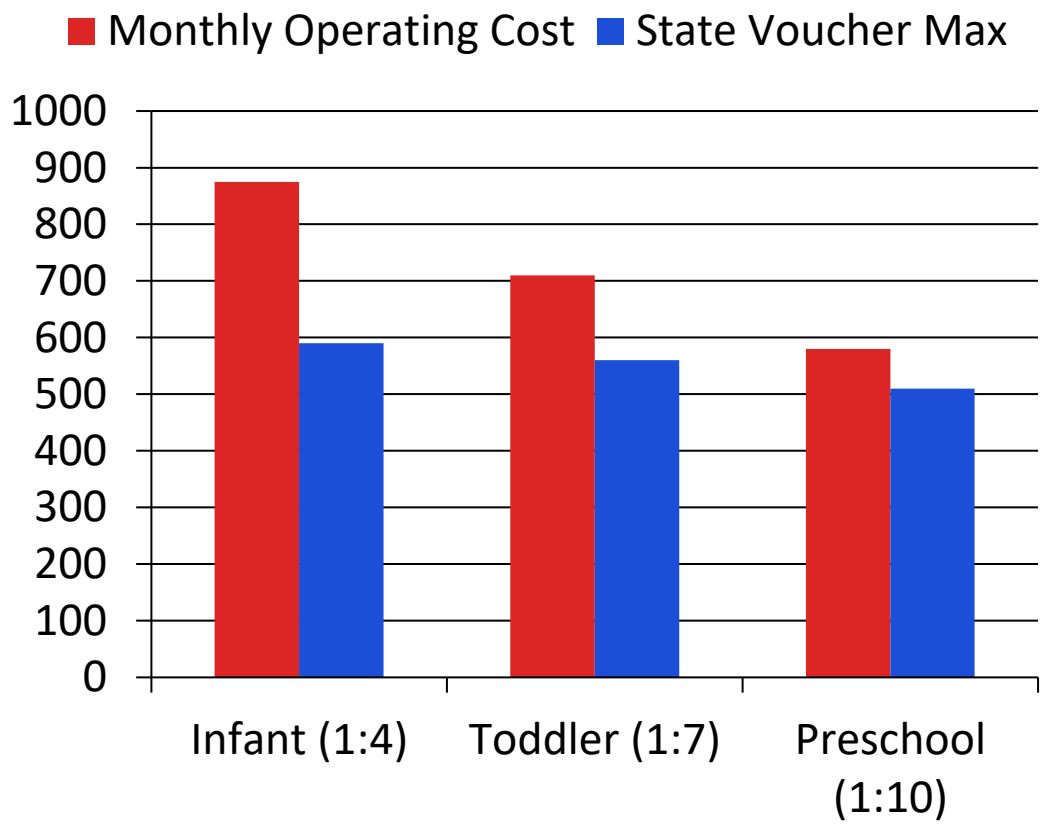


U.S. Census Bureau ACS Median Income (2024) vs. Arkansas Childcare Assistance Voucher Reliance (Q7)

INFANT CARE DEFICIT & MARKET CONTRACTION

Mandated 1:4 Ratios Cause -$285 Crib Deficit & Nursery Closures

- **Mandated 1:4 Ratio Deficit:** 1 teacher ($15/hr + benefits) costs $875/mo in NWA and $745/mo in rural counties vs $590 state cap, creating structural red ink statewide.
- **LEARNS Pre-K Siphon:** Public Pre-K expansion siphons 3-4 yr olds (1:10 ratio), breaking private centers' ability to cross-subsidize infants and causing 85% observed closures.
- **14-Month Parent Waitlists:** Infant shortages keep mothers out of the workforce, forcing 19% of centers to exit vouchers and creating 30+ minute rural care deserts.



Arkansas Cost of Care Analysis vs. ADE/OEC Voucher Max Reimbursement Schedule | 1:4 Staffing Mandate

POLICY & OPERATIONAL BOTTLENECKS

Administrative Delays & Inflexible Rules Stall Childcare Operations

- **68-Day Vendor Backlogs:** Third-party claims sync failures left centers without funds for 2+ months; warrants Joint Performance Review (JPR) oversight.
- **Attendance-Docking Clawbacks:** State claws back voucher pay when sick children miss days, while fixed center teacher payroll continues.
- **30-Hr Work Rule Rigidity:** Excludes retail, poultry, and healthcare shift workers whose weekly hours fluctuate below 30; penalizes vocational trainees (CNA, LPN).
- **Regressive Copay Cliff:** Daily fees up to $12 per child consume 15–20% of net pay for $14/hour workers, while flat rates erased quality bonuses.

Field Analysis: ADE/OEC SRA Billing Disruptions, Eligibility Rules & Flattened Quality Reimbursement



CONSOLIDATED SOLUTIONS ROADMAP

Actionable Policy Roadmap & Fiscally Conservative Framework

- **Phase 1: ALC Emergency Petition:** File 30-day ADE/OEC emergency rule for 120-hr work averaging, 5-day medical absence buffer, and automated bridge advances.
- **Phase 2: Automated DWS Audits:** Reconcile advances bi-monthly via backend DWS wage matching with zero director paperwork; includes 90-day provider safe harbor.
- **Phase 3: $6.2M Federal CCDF Draw:** Reintroduce Better Beginnings quality tiers from AR's $18.5M recurring federal quality fund (zero state General Revenue impact).
- **Local Action: Act 517 & CDFI Pools:** Deploy Article 12 compliant CDFI revolving bridge pools and employer childcare consortiums backed by State Chamber resolutions.

Funded via Federal CCDF Quality Set-Asides & Act 517 Tax Credits | Zero State General Revenue Increase



Partnering to Protect Arkansas Childcare & Economic Growth

Essential Economic Infrastructure for Arkansas Workforce Expansion

Questions & Policy Discussion | State, County & Municipal Leadership